✅ UNIT 1 — COMPLETE EXAM QUESTION BANK

1.1 Meeting Customer Needs

1.1(a) Mass & Niche Markets

4 marks: Explain one characteristic of a mass market.
6 marks: Analyse two advantages to a business of operating in a niche market.
10 marks: Assess whether a mass-market strategy is always better than niche marketing for large firms.

1.1(b) Dynamic Markets

4 marks: Explain what is meant by a dynamic market.
6 marks: Analyse two ways innovation can help a business adapt to changing markets.
8 marks: Discuss the impact of online retailing on business costs.
10 marks: Assess whether adapting to market changes is essential for long-term survival.

1.1(c) Competition

4 marks: Explain one way competition can affect pricing.
6 marks: Analyse two effects of increased competition on a business.

1.1(d) Risk & Uncertainty

4 marks: Explain the difference between risk and uncertainty.
6 marks: Analyse two ways a business can reduce uncertainty.

1.2 Market Research

1.2(a) Primary & Secondary Research Uses

4 marks: Explain one reason a business might conduct market research.
6 marks: Analyse how quantitative data helps a business anticipate customer needs.

1.2(b) Primary Research Methods

4 marks: Explain one advantage of using focus groups.
6 marks: Analyse two benefits of test marketing before a product launch.

1.2(c) Secondary Research Methods

4 marks: Explain one benefit of using government reports as secondary research.
6 marks: Analyse two drawbacks of relying on secondary data.

1.2(d) Sampling Methods

4 marks: Explain one advantage of quota sampling.
6 marks: Analyse two drawbacks of stratified sampling for a small business.

1.3 Market Positioning

1.3(a) Product vs Market Orientation

4 marks: Explain one feature of a market-oriented business.
10 marks: Assess whether product orientation is still relevant in modern markets.

1.3(b) Market Mapping

4 marks: Explain one use of a market map.

1.3(c) Market Segmentation

4 marks: Explain one benefit of market segmentation.
6 marks: Analyse two reasons a business might segment its market.

1.3(d) Competitive Advantage

6 marks: Analyse two ways a business can gain a competitive advantage.

1.3(e) Product Differentiation

4 marks: Explain one purpose of product differentiation.

1.3(f) Adding Value

4 marks: Explain what is meant by ‘adding value’.

1.3.2 The Market

Demand

4 marks: Explain one factor that could cause demand to increase.
6 marks: Analyse two effects of seasonality on demand.

Supply

4 marks: Explain one factor that could cause supply to fall.
6 marks: Analyse two impacts of government subsidies on supply.

Equilibrium

6 marks: Analyse how an increase in demand causes a change in market equilibrium.
8 marks: Discuss the effects of a fall in supply on market price.

PED

4 marks: Calculate PED using given data.
6 marks: Analyse two factors influencing PED.
10 marks: Assess how the PED of its products should influence a firm’s pricing decisions.

YED

4 marks: Explain the difference between normal and inferior goods.
6 marks: Analyse two uses of YED for a supermarket business.

1.3.3 Marketing Mix & Strategy

Marketing Objectives

4 marks: Explain one marketing objective of a business.

Product Life Cycle

6 marks: Analyse two extension strategies a business may use.

Boston Matrix

6 marks: Analyse the usefulness of the Boston Matrix to a business with many products.

Marketing Strategies

8 marks: Discuss whether niche-market strategies are beneficial for new start-ups.

Consumer Behaviour

4 marks: Explain one method a business can use to increase customer loyalty.

Design Mix

8 marks: Discuss the impact of ethical sourcing on the cost element of the design mix.

Branding & Promotion

6 marks: Analyse two benefits of strong branding.
8 marks: Discuss the impact of social media advertising on customer engagement.

Pricing Strategies

4 marks: Explain one feature of penetration pricing.
6 marks: Analyse two drawbacks of psychological pricing.
10 marks: Assess whether price skimming is always the best pricing strategy for new products.

Distribution

4 marks: Explain one advantage of a two-stage distribution channel.
6 marks: Analyse how online distribution has affected retailer operations.

1.3.4 Managing People

Staffing Approaches

4 marks: Explain one benefit of treating staff as an asset.

Flexible Workforce

6 marks: Analyse two benefits of using temporary workers.

Dismissal & Redundancy

4 marks: Explain the difference between dismissal and redundancy.

Employer–Employee Relations

6 marks: Analyse two benefits of effective communication between employers and employees.

Recruitment & Selection

4 marks: Explain one advantage of internal recruitment.
6 marks: Analyse two reasons training is expensive for businesses.

Organisational Design

8 marks: Discuss whether a decentralised structure is better for growing businesses.

Motivation Theories

6 marks: Analyse two ways Herzberg's theory can improve employee performance.

Financial & Non-Financial Motivation

4 marks: Explain one financial method of motivation.
6 marks: Analyse two non-financial motivational methods.

Leadership Styles

6 marks: Analyse two drawbacks of autocratic leadership.
8 marks: Discuss whether democratic leadership always leads to better performance.

1.3.5 Entrepreneurs & Leaders

Entrepreneurial Roles

4 marks: Explain one role of an entrepreneur.

Characteristics & Skills

6 marks: Analyse why both characteristics and skills are needed to run a business.

Entrepreneurial Motives

4 marks: Explain one non-financial motive for starting a business.

Business Objectives

6 marks: Analyse two reasons why a business may prioritise survival over profit.

Opportunity Cost & Trade-Offs

4 marks: Explain the term ‘opportunity cost’.
6 marks: Analyse one trade-off a business might face when lowering prices.